

ASCENSION PARISH SCHOOL BOARD
NOTES TO THE FINANCIAL STATEMENTS
JUNE 30, 2022

7. GENERAL LONG-TERM OBLIGATIONS (continued)

All principal and interest requirements are funded in accordance with Louisiana law by the annual ad valorem tax levy on taxable property within the parish or by the 1981 sales and use tax. At June 30, 2022, the Ascension Parish School Board accumulated fund balance of \$13,343,314 in the debt service funds for future debt requirements. The debt service requirements for the School Board bonds are as follows:

<u>Year Ending June 30</u>	<u>Bond Principal</u>	<u>Bond Premium Amortization</u>	<u>Bond Interest</u>	<u>Bond Principal from Direct Borrowings</u>	<u>Bond Interest from Direct Borrowings</u>	<u>Total</u>
2023	\$ 8,700,000	\$ 1,900,721	\$ 5,308,675	\$ 6,196,371	\$ 6,296,223	\$ 28,401,990
2024	9,030,000	1,900,721	5,029,375	5,906,372	6,528,897	28,395,365
2025	9,385,000	1,900,721	4,759,900	5,966,371	6,342,110	28,354,102
2026	8,425,000	1,784,461	4,456,175	6,719,715	6,126,559	27,511,910
2027	6,495,000	1,714,985	4,112,525	8,483,039	5,936,818	26,742,367
2028-2032	25,640,000	7,750,274	17,535,025	56,760,192	25,198,329	132,883,820
2033-2037	58,700,000	7,282,083	10,270,050	39,410,000	16,460,360	132,122,493
2038-2042	20,585,000	4,204,704	927,800	53,815,000	5,934,650	85,467,154
	<u>\$ 146,960,000</u>	<u>\$ 28,438,670</u>	<u>\$ 52,399,525</u>	<u>\$ 183,257,060</u>	<u>\$ 78,823,946</u>	<u>\$ 489,879,201</u>

The Ascension Parish School Board defeased certain general obligation bonds by placing the proceeds of new bonds in an irrevocable trust to provide for all future debt service payments on the old bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the Ascension Parish School Board's financial statements. At June 30, 2022, \$70,980,000 of bonds outstanding are considered defeased.

In accordance with Louisiana Revised Statute 39:562, the Ascension Parish School Board is legally restricted from incurring long-term bonded debt secured by property taxes in excess of 35 percent of the assessed value of taxable property. The statutory limit is \$639,326,055, and net debt applicable to the debt limit equals \$312,207,073, which is 51% under the statutory limit (see Statistical table 12). In addition, the Ascension Parish School Board is legally restricted from incurring long-term bonded debt secured by sales and use taxes in excess of 75 percent of the avails of the tax as prescribed by LSA-RS 33:2728.25(A).

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16. LEASES

The School Board is a lessee for noncancelable lease agreements for vehicles and equipment used for transportation and administrative functions. The lease terms include the noncancelable period of the lease and the optional renewal period if applicable. The lease payments are fixed payments. In accordance with GASB Statements No. 87, *Leases*, a liability has been recorded for the present value of lease payments over the lease term for each agreement. The lease agreements have non-appropriation exculpatory clauses that allow lease cancellation if the School Board does not make an appropriation for its continuation during any future fiscal period. However, such clauses were disregarded in determining the term of the lease for the purpose of measuring the lease assets and liabilities.

As of June 30, 2022, the combined value of the lease liabilities was \$5,112,288. In determining the present values, the interest rate charged by the lessor was the discount rate, if provided. When the interest rate charged by the lessor was not provided, the School Board used its estimated incremental borrowing rate as the discount rate for leases of 3%. The recorded value of the right-of-use assets as of the end of the current fiscal year was \$6,864,298 and the accumulated amortization of these assets were \$1,712,649.

The following is a schedule of the recorded amounts and accumulated amortization of leased assets by underlying asset class:

	<u>Recorded amount</u>	<u>Accumulated amortization</u>	<u>Net right-to-use asset</u>	<u>2022 Amortization</u>
<u>Right to use assets:</u>				
Equipment	2,921,136	679,104	2,242,032	679,104
Vehicles	3,943,162	1,033,545	2,909,617	1,033,545
	<u>\$ 6,864,298</u>	<u>\$ 1,712,649</u>	<u>\$ 5,151,649</u>	<u>\$ 1,712,649</u>

The future principal and interest lease payments as of June 30, 2022, are as follows:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 1,752,010	\$ 120,245	\$ 1,872,255
2024	1,615,102	82,142	1,697,244
2025	969,621	45,518	1,015,139
2026	615,116	17,447	632,563
2027	160,439	6,233	166,672
Total	<u>\$ 5,112,288</u>	<u>\$ 271,585</u>	<u>\$ 5,383,873</u>